



**Order under Section 57
Residential Tenancies Act, 2006**

Citation: Byrne v 1358772 Ontario Inc., 2025 ONLTB 94129

Date: 2025-12-15

File Number: LTB-T-072751-24

In the matter of: Upper East, 2 SARNIA ST BAYFIELD
ON N0M1G0

Between: Keith Byrne Tenant

And

1358772 Ontario Inc.
Michael Decorte Landlord

Keith Byrne (the 'Tenant') applied for an order determining that 1358772 Ontario Inc. and Michael Decorte (the 'Landlord') gave a notice of termination in bad faith.

This application was heard by videoconference on May 26, 2025, and November 19, 2025.

The Tenant Keith Byrne, the Tenant's Agent Lisa Downs, and the Landlord's Agent Terri Louch attended the hearing.

Preliminary Issues:

1. On May 18, 2025, the Tenant submitted a Request to Amend his application. The amended application corrected a clerical error in the Landlord's name and added a \$15,000.00 general compensation claim. The Landlord was not served with the amendment, however the Landlord's Agent confirmed that she reviewed it in the Tribunals Ontario Portal and was prepared to respond. The application was amended accordingly.

Determinations:

1. As explained below, the Tenant proved the allegations contained in the application on a balance of probabilities. Therefore, the Landlord must pay to the Tenant \$5,146.40 on or before December 31, 2025.
2. Subsection 57(1)(a) of the *Residential Tenancies Act, 2006* (the 'Act') requires the Tenant to prove each of the following on a balance of probabilities:
 - The Landlord gave the Tenant an N12 notice of termination under section 48 of the Act;
 - The Tenant vacated the rental unit as a result of the N12 notice of termination;
 - No person referred to in subsection 48(1) of the Act occupied the rental unit within a reasonable time after the Tenant vacated; and
 - The Landlord served the N12 notice of termination in bad faith.
3. It was undisputed that the Landlord gave the Tenant an N12 notice of termination under section 48 of the Act (the 'N12 Notice'), and that the Tenant vacated the rental unit on September 14, 2023, as a result.
4. The two contested issues before me are whether the Landlord moved into the rental unit within a reasonable time after the Tenant vacated, and whether the Landlord served the N12 Notice in bad faith.

Did the Landlord move in within a reasonable time?

5. It was undisputed that the Landlord moved into the rental unit on October 16, 2024, over a year after the Tenant vacated. The Tenant's Agent, Lisa Downs ('LD'), submitted that this delay was unreasonable. She provided a Notice of Project which was taped to the door of the rental unit which indicated that the intended timeline for the project was April 1, 2024, to November 30, 2024. The renovations were only supposed to start six months after the Tenant vacated and continue for another eight months.
6. The Landlord's Agent, Terri Louch ('TL'), testified that the renovations started earlier to fully gut and remediate the unit. The Notice of Project was only required for new construction, which is why the start date is much later. TL explained that the Landlord experienced delays with contractors and organizing the renovations.
7. TL's testimony regarding the delays in the renovations was vague. There were no details provided regarding when the Landlord first contacted contractors to do the work, or why the work took so long. The dates on the Notice of Project suggest that the work was planned to be finished in November 2024, not that the Landlord experienced unexpected delays. One year is a significant amount of time. I am not satisfied that the Landlord moved into the rental unit within a reasonable time after the Tenant vacated.

Presumption of Bad Faith

8. Subsection 57(5) of the Act states that, if a landlord advertises the rental unit for rent or enters into a new tenancy agreement for the rental unit with someone other than the former tenant within one year after the tenant vacates, it is presumed that the landlord gave the N12 notice in bad faith unless the contrary is proven on a balance of probabilities.
9. LD provided a photograph taken on September 22, 2023, of a man who she stated was a temporary tenant at the rental unit. LD was not aware of whether the man was paying rent to the Landlord to occupy the unit.
10. TL explained that the man in the photograph is a personal friend of the Landlord, whom he gave permission to stay at the rental unit free of charge for several weeks while he was going through a difficult time.
11. I prefer TL's testimony on this issue as she was aware of the circumstances regarding the man's occupancy of the unit, while LD's testimony was speculative. As the man did not pay rent for the right to occupy the rental unit, he was not a tenant. Therefore, the presumption of bad faith under section 57(5) of the Act does not apply.

Was the N12 Notice served in bad faith?

12. TL stated that the Landlord gave the N12 Notice because he intended to move into the rental unit due to having to sell his own home, and that he ultimately followed through on his plan. However, it was undisputed that Michael Decorte ('MD') is the sole owner of 1358772 Ontario Inc., which is the sole owner of the rental unit.
13. Subsection 48(5) of the Act prohibits a landlord from giving a notice of termination for their own residential occupation of a rental unit unless the rental unit is owned in whole or in part by an individual, and the landlord is an individual.
14. I accept that the individual, MD, is a landlord as defined by the Act because he permits occupancy of the rental unit and was the main point of contact for tenancy issues. However, the rental unit is owned in whole by the numbered company, not MD. Therefore, he was not permitted to serve the N12 Notice. MD circumvented section 48(5) of the Act, and I therefore find that the notice was given in bad faith.
15. The Tenant proved all parts of the legal test under section 57(1)(a) of the Act. Therefore, the application is granted.

Remedies

16. The Tenant requested \$98.40 for gas charges he incurred when moving out of the rental unit. Although receipts were not provided, I find these costs to be reasonable. The Landlord must pay the Tenant \$98.40 for the reasonable out-of-pocket moving, storage and other like expenses that the Tenant has incurred as a result of having to move out of the rental unit.

17. The Tenant requested general compensation, testifying that he had to move to Port Elgin, which was far from the rental unit. He lost his job of five years because he was unable to travel there every day. The Tenant lost his connection with his daughter; because the Tenant was experiencing financial challenges at the time, she couldn't stay with him and had to move in with her mother. I am satisfied that the Landlord's actions significantly affected the Tenant. Therefore, I find that the Landlord must pay the Tenant \$5,000.00 for general compensation.
18. The Tenant also requested an administrative fine. Administrative fines are a remedy imposed on landlords to encourage compliance with the Act and to deter landlords from engaging in similar conduct in the future. This remedy is not normally imposed unless a landlord has shown a blatant disregard for the Act and other remedies will not provide adequate deterrence and compliance. I find that the other remedies ordered are sufficient to deter the Landlord from engaging in similar conduct in the future. Therefore, the request for an administrative fine is denied.

It is ordered that:

1. The total amount the Landlord shall pay the Tenant is \$5,146.40. This amount represents:
 - \$98.40 for the reasonable moving, storage and other like expenses that the Tenant has incurred as a result of having to move out of the rental unit.
 - \$5,000.00 for general compensation.
 - \$48.00 for the cost of filing the application.
2. The Landlord shall pay the Tenant the full amount owing by December 31, 2025.
3. If the Landlord does not pay the Tenant the full amount owing by December 31, 2025, the Landlord will owe interest. This will be simple interest calculated from January 1, 2026, at 4.00% annually on the balance outstanding.
4. The Tenant has the right, at any time, to collect the full amount owing or any balance outstanding under this order.

December 15, 2025

Date Issued

Kate Sinipostolova

Member, Landlord and Tenant Board

15 Grosvenor Street, Ground Floor Toronto
ON M7A 2G6

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If you have any questions about this order, call 416-645-8080 or toll free at 1-888-332-3234.

2025 ONL TB 94129 (CanLII)